

MU - Micron Technology

Framework 6.0.2 | NAND forecast updated September 21, 2026 | Company research anchor: September 6, 2026

Status: HELD. Memory bottleneck with cyclical pricing.

Portfolio Base: 99/100, user-selected. **Analytical score:** 53/60 = 88/100, advisory only.

Active NAND assumption: calendar Q3 2026 +23%; calendar Q4 2026 +20%; calendar Q1 2027 +15%. Company-level realization, allocation and persistence are modeled assumptions described below.

Valuation: 9x forward-four-quarter non-GAAP operating profit. Q3 2027 ceiling: USD 2,087.37; Q1 2028: USD 2,154.02 per share.

Amounts: USD billions unless stated. All current forward tables represent one operating case. Probability is not multiplied into earnings or ceilings. Price-dependent ranking remains in Excel.

1. Thesis, products and competitive position

HELD. BOTTLENECK with cyclical pricing. Micron supplies HBM, conventional DRAM and NAND across data centers, client/mobile and automotive/embedded systems. HBM qualification, packaging and wafer allocation constrain supply, while enterprise SSDs monetize context storage, AI data lakes and increasingly dense storage systems. The addressable wallet is memory and storage content, not total server or hyperscaler capex.

HBM4 shipments, next-generation DRAM and G9 NAND provide different paths to monetization. HBM uses more wafer and packaging resources per delivered bit than conventional DRAM, supporting tighter conventional supply as capacity shifts. An exact wafer trade ratio depends on generation, yield and die size. Cloud Memory's disclosed gross margin is below several other business units; a differentiated product does not automatically have the highest margin.

The semiconductor supercycle is DB6. AI inference expands compute memory, working memory and persistent storage together, but those wallets must be counted once. US manufacturing and customer diversification support strategic positioning. HBM competition, China-related customer restrictions, qualification, greenfield costs and eventual supply expansion remain constraints. Dated HBM share estimates and universal contract claims are not inputs to the current NAND calculation.

2. Earnings, guidance and operating assumptions

FQ3 FY2026 ended May 28 and was reported June 24. Revenue was \$41.456B, non-GAAP GP \$35.199B and non-GAAP OP \$33.681B; GAAP OP was \$33.318B. The model retains the sanctioned non-GAAP OP convention. FQ4 guidance is revenue \$50B ± \$1B, GM about 86% and non-GAAP opex about \$1.65B. This is the calendar-Q3 proxy; fiscal quarters do not align exactly with calendar quarter ends. Source: MU-1.

Business-unit revenues were \$13.769B, \$11.524B, \$11.521B and \$4.634B. The calibration separately identifies \$0.008B of revenue outside those four reported totals and the difference produced by rounded unit GMs. It reconciles exact group OP without pretending product GMs are reported to additional decimal places.

Management and contract interpretation

The March call described the first five-year SCA and acknowledged that conventional-memory margins exceeded HBM margins. By June, management disclosed 16 SCAs. HBM therefore cannot automatically be assigned the highest GM merely because it is the most differentiated product. Sources: MU-2, MU-4.

Pricing provisions vary: major SCAs generally have bands; some use fixed or market-linked terms. About \$22B of deposits and related commitments includes approximately \$18B of cash. Deposits are financing cash flows and are refundable over the later contract term; they are not incremental sales or free cash flow. Source: MU-2. The Q&A places the industry HBM opportunity above \$100B in 2027. This is a management TAM estimate, not Micron revenue guidance. Source: MU-3.

Capacity and cost

Product GMs peak across 2027, then fade at different rates. The more exposed Mobile and Client path declines more than the data-center paths. This shape is a conditional model choice; SCA economics do not establish a disclosed GM floor for each business unit. Opex is explicitly deducted from product GP. The company guide remains a separate reference; the selected NAND case below determines current modeled revenue, GM and opex.

June management expects tight conditions beyond 2027 and higher DRAM bit costs from product complexity and greenfield capacity. Tongluo and Singapore packaging improve supply, while construction spending precedes saleable bits. Those observations support separately modeling physical output, product mix and pricing; they do not prove the long-term revenue levels. Source: MU-2.

Active NAND pricing and transmission

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

With Q2 2026 indexed to 1.000, active calendar price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The Q1 level is 69.74% above Q2 2026. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption, not a forecast supplied by TrendForce or the quoted analysts.

The inherited company curves did not contain an auditable NAND ASP/bit split. The current calculation therefore uses **reference-price calibration divisors of 1.150 for Q3 and 1.2075 for Q4 onward**. These reproduce the supplied curve at the previous upper-bound benchmark and are calculation inputs, not a second active price forecast. Reference-price NAND revenue = calibration NAND revenue / reference index. Active NAND revenue = reference-price NAND revenue x active index. The underlying volume/mix proxy is held constant during this repricing; it is not a measured bit shipment series.

This full-transmission operating case replaces the price component rather than applying another 23% and 20% on top of already priced revenue. There is no corresponding increase to DRAM or HBM pricing, no new fab capacity, and no automatic extra buyback. Company contracts, qualification, mix and timing remain the tests of realized earnings.

NAND allocation and fiscal recognition

Micron reports fiscal Q3 NAND revenue of approximately \$9.9B, or **24% of total revenue**. The active model uses the disclosed rounded 24% as the NAND allocation of each quarter's reference business-unit revenue sum. This fixed forward mix is an assumption; it is not a disclosed NAND percentage for every business unit or future quarter. [MU-2]

The four business-unit contributions below are calibrated at the reference price schedule. Their total already includes NAND. Only the **incremental NAND price adjustment** is added, so the full NAND revenue is never counted twice. The allocation is kept at company level because an exact NAND split across business units is not disclosed. It does not assign NAND price increases to HBM or DRAM, nor establish revised individual business-unit sales or margins.

Micron's quarter labels are fiscal proxies: Q3 2026 represents FQ4 FY2026 (approximately June-August), Q4 represents FQ1 FY2027 (September-November), and Q1 2027 represents FQ2 FY2027 (December-February). Uniform monthly weighting gives active indexes of **1.153333** for June-August and **1.394000** for September-November. December-February uses $(1.476 + 2 \times 1.6974) / 3 = 1.623600$, recognizing the new increase in January and February. March-May and later use **1.697400**. Reference divisors remain 1.100000, 1.188333 and then 1.207500. Fiscal weeks and contract resets can differ from this monthly approximation.

The selected +23%/+20%/+15% calendar benchmark is preserved with fiscal-month weighting. The prior two fiscal-quarter operating forecasts remain unchanged. Fiscal Q4 FY2026 remains above the \$50B guidance midpoint and within its \$49-51B range; it is a Model row, not a revised company guide or reported result.

Gross profit equals the sum of reference business-unit gross profits plus the incremental NAND price adjustment. Production costs are retained at the existing shipment/mix path. Opex percentages remain explicit and are applied to revised revenue. The

remaining incremental price benefit reaches non-GAAP OP; extra manufacturing expense, royalties, mix changes or customer concessions would lower that conversion.

3. Analytical score

Portfolio Base is **99/100**, user-selected and unchanged. The analytical category total is **53/60 = 88/100**, advisory only. The NAND pricing adjustment does not change either score.

Category	Points	Maximum	Basis
Core thesis	19	20	HBM, server DRAM and SSD technology plus manufacturing scale; the moat includes capital and process capability.
Cycle stage	9	10	Tight supply extends beyond 2027 in management outlook, with already elevated margins.
TAM expansion	10	10	AI memory hierarchy, inference storage and edge content expand the addressable wallet.
Catalysts	5	5	HBM4E, Singapore packaging and Tongluo capacity milestones.
Macro	10	10	AI infrastructure demand supports both DRAM and NAND.
Alpha	4	5	Business-unit disclosure and contract detail improve model discrimination.
Risks	-4	0	Customer/geopolitical exposure; greenfield execution; pricing/cost normalization; uncertain forward allocation and share count.

4. Product economics and quarterly operating model

All amounts below are USD billions. The business-unit inputs are reference-price contributions within the current calculation, not separate active guidance. Company actuals and the recorded guide appear in section 2. All future allocations and costs are LOW-confidence modeling assumptions.

Vector evidence

Vector	Source / derivation	Confidence
Cloud Memory	Issuer business-unit revenue and rounded GM; forward HBM/server mix is an analytical path	HIGH actual; LOW forward
Core Data Center	Issuer segment revenue/GM; SSD demand within this business, not added a second time	HIGH actual; LOW forward
Mobile and Client	Issuer segment revenue/GM; forward normalization is a model assumption	HIGH actual; LOW forward
Automotive and Embedded	Issuer segment revenue/GM; no separate robotics revenue added	HIGH actual; LOW forward

The additional NAND price adjustment is derived from TF-1 and the MU-2 company-level NAND mix. It is incremental pricing only, with LOW confidence in future mix and contract realization.

Business-unit calibration inputs

Quarter	CMBU reference revenue	CDBU reference revenue	MCBU reference revenue	AEBU reference revenue	NAND price adjustment	Active total revenue
Q3 2026	17.00	14.00	13.00	6.00	0.58	50.58
Q4 2026	20.00	15.50	13.50	6.00	2.28	57.28
Q1 2027	22.50	17.00	14.00	6.50	4.96	64.96
Q2 2027	25.00	18.00	14.50	6.50	6.23	70.23
Q3 2027	27.00	19.50	14.50	7.00	6.62	74.62
Q4 2027	29.00	20.50	15.00	7.00	6.96	78.46
Q1 2028	30.50	21.00	15.00	7.00	7.16	80.66
Q2 2028	32.00	21.50	15.00	7.00	7.35	82.85
Q3 2028	33.00	22.00	15.00	7.00	7.50	84.50
Q4 2028	34.00	22.50	15.00	7.00	7.64	86.14
Q1 2029	35.00	23.00	15.00	7.00	7.79	87.79
Q2 2029	36.00	23.00	15.00	7.00	7.89	88.89
Q3 2029	37.00	23.50	15.00	7.00	8.03	90.53
Q4 2029	38.00	23.50	15.00	7.00	8.13	91.63
Q1 2030	38.50	24.00	15.00	7.00	8.23	92.73
Q2 2030	39.00	24.00	15.00	7.00	8.28	93.28
Q3 2030	39.50	24.00	15.00	7.00	8.33	93.83
Q4 2030	40.00	24.50	15.00	7.00	8.42	94.92

Reference business-unit gross margins

Quarter	CMBU	CDBU	MCBU	AEBU	
Q3 2026		84.5%	88.0%	88.0%	81.0%
Q4 2026		85.0%	88.3%	88.2%	81.5%
Q1 2027		85.3%	88.5%	88.2%	81.8%
Q2 2027		85.5%	88.5%	88.0%	82.0%
Q3 2027		85.5%	88.4%	87.4%	82.0%
Q4 2027		85.2%	88.0%	86.2%	81.6%
Q1 2028		84.5%	87.2%	84.5%	80.8%
Q2 2028		83.5%	86.0%	82.2%	79.7%
Q3 2028		82.2%	84.5%	79.5%	78.3%
Q4 2028		80.6%	82.7%	76.5%	76.6%
Q1 2029		78.8%	80.7%	73.3%	74.7%
Q2 2029		77.0%	78.7%	70.2%	72.7%
Q3 2029		75.2%	76.7%	67.3%	70.8%
Q4 2029		73.6%	75.0%	64.8%	69.0%
Q1 2030		72.2%	73.6%	62.6%	67.5%
Q2 2030		71.2%	72.7%	60.8%	66.3%
Q3 2030		70.5%	72.3%	59.4%	65.3%
Q4 2030		70.0%	72.0%	58.5%	64.5%

NAND allocation and price derivation

Quarter proxy	Effective reference index	Effective active index	Reference-price NAND revenue	Active NAND revenue
Q3 2026	1.100000	1.153333	10.91	12.58
Q4 2026	1.188333	1.394000	11.11	15.48
Q1 2027	1.207500	1.623600	11.93	19.36
Q2 2027	1.207500	1.697400	12.72	21.59
Q3 2027	1.207500	1.697400	13.52	22.94
Q4 2027	1.207500	1.697400	14.21	24.12
Q1 2028	1.207500	1.697400	14.61	24.80
Q2 2028	1.207500	1.697400	15.01	25.47
Q3 2028	1.207500	1.697400	15.30	25.98
Q4 2028	1.207500	1.697400	15.60	26.48
Q1 2029	1.207500	1.697400	15.90	26.99
Q2 2029	1.207500	1.697400	16.10	27.33
Q3 2029	1.207500	1.697400	16.40	27.83
Q4 2029	1.207500	1.697400	16.60	28.17
Q1 2030	1.207500	1.697400	16.80	28.51
Q2 2030	1.207500	1.697400	16.89	28.68
Q3 2030	1.207500	1.697400	16.99	28.85
Q4 2030	1.207500	1.697400	17.19	29.18

Quarterly operating model

Quarter	Fiscal period	Revenue	Gross profit	Gross margin	Opex	Non-GAAP OP	OP margin
Q3 2026	FQ4 FY2026	50.58	43.57	86.1%	1.67	41.90	82.8%
Q4 2026	FQ1 FY2027	57.28	49.77	86.9%	1.83	47.93	83.7%
Q1 2027	FQ2 FY2027	64.96	56.86	87.5%	2.03	54.84	84.4%
Q2 2027	FQ3 FY2027	70.23	61.63	87.7%	2.15	59.48	84.7%
Q3 2027	FQ4 FY2027	74.62	65.36	87.6%	2.24	63.12	84.6%
Q4 2027	FQ1 FY2028	78.46	68.35	87.1%	2.32	66.03	84.2%
Q1 2028	FQ2 FY2028	80.66	69.57	86.3%	2.37	67.20	83.3%
Q2 2028	FQ3 FY2028	82.85	70.47	85.1%	2.42	68.05	82.1%
Q3 2028	FQ4 FY2028	84.50	70.62	83.6%	2.46	68.16	80.7%
Q4 2028	FQ1 FY2029	86.14	70.49	81.8%	2.50	67.99	78.9%
Q1 2029	FQ2 FY2029	87.79	70.15	79.9%	2.55	67.61	77.0%
Q2 2029	FQ3 FY2029	88.89	69.33	78.0%	2.58	66.75	75.1%
Q3 2029	FQ4 FY2029	90.53	68.93	76.1%	2.63	66.31	73.2%
Q4 2029	FQ1 FY2030	91.63	68.27	74.5%	2.67	65.61	71.6%
Q1 2030	FQ2 FY2030	92.73	67.80	73.1%	2.71	65.10	70.2%
Q2 2030	FQ3 FY2030	93.28	67.25	72.1%	2.73	64.52	69.2%
Q3 2030	FQ4 FY2030	93.83	67.01	71.4%	2.76	64.25	68.5%
Q4 2030	FQ1 FY2031	94.92	67.35	71.0%	2.80	64.55	68.0%

Annual model cross-check

Model year	Revenue	Operating profit	OP margin
2027	288.28	243.46	84.5%
2028	334.15	271.41	81.2%
2029	358.84	266.27	74.2%
2030	374.75	258.42	69.0%

The annual labels sum the four fiscal-quarter proxies assigned to that calendar model year; they are not Micron fiscal-year totals.

5. Forward four-quarter operating ceiling

Ceiling (USD/share) = forward four-quarter non-GAAP OP (USD billions) x 1,000 x 9 / diluted shares (millions). The share path starts at 1,150M and declines conditionally, reaching 1,134M at Q1 2028. Planned capital returns are not a guarantee of this share trajectory.

Every row prices its stated quarter plus the next three quarters. No probability haircut, tax conversion, net-debt addition or EPS multiple is inserted. These are the portfolio's sanctioned operating-profit valuation conventions. The final three operating quarters support the preceding windows and have no standalone ceiling because later earnings are unavailable.

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Economic shares M	Ceiling USD/share
Q3 2026	Q3 2026 to Q2 2027	204.15	9.00	1,150.00	1,597.68
Q4 2026	Q4 2026 to Q3 2027	225.37	9.00	1,148.00	1,766.83
Q1 2027	Q1 2027 to Q4 2027	243.46	9.00	1,145.00	1,913.69
Q2 2027	Q2 2027 to Q1 2028	255.83	9.00	1,142.00	2,016.15
Q3 2027	Q3 2027 to Q2 2028	264.40	9.00	1,140.00	2,087.37
Q4 2027	Q4 2027 to Q3 2028	269.44	9.00	1,137.00	2,132.79
Q1 2028	Q1 2028 to Q4 2028	271.41	9.00	1,134.00	2,154.02
Q2 2028	Q2 2028 to Q1 2029	271.81	9.00	1,130.00	2,164.90
Q3 2028	Q3 2028 to Q2 2029	270.51	9.00	1,126.00	2,162.18
Q4 2028	Q4 2028 to Q3 2029	268.66	9.00	1,122.00	2,155.02
Q1 2029	Q1 2029 to Q4 2029	266.27	9.00	1,118.00	2,143.52
Q2 2029	Q2 2029 to Q1 2030	263.76	9.00	1,114.00	2,130.91
Q3 2029	Q3 2029 to Q2 2030	261.53	9.00	1,110.00	2,120.52
Q4 2029	Q4 2029 to Q3 2030	259.47	9.00	1,106.00	2,111.43
Q1 2030	Q1 2030 to Q4 2030	258.42	9.00	1,102.00	2,110.48

Derivation example: Q3 2027

63.12 + 66.03 + 67.20 + 68.05 = 264.40 of forward four-quarter OP. Apply the 9x multiple, 1,140.00 million share denominator and the unit conversion above to obtain **USD 2,087.37 per share**. Calculations retain full precision; displayed totals may differ slightly from rounded components.

Mechanical share sensitivity

Q1 2028 denominator	Ceiling USD/share
Current model	2,154.02
5% more shares	2,051.45
10% more shares	1,958.20

At 1,150M shares throughout, Q1 2028 would be USD 2,124.05 per share.

6. Industry relationships and read-throughs

TAM expansion and industry relationships

HBM, server DRAM, client/mobile memory and NAND storage serve different parts of the workload. The data-center business-unit totals already include SSD exposure; neither enterprise SSD sales nor an industry TAM should be added again. Capacity, bit growth, qualified products and customer share are still required to validate the inherited long-range revenue curve. This NAND revision changes pricing, not those capacity assumptions.

Cross-watch Samsung and SK hynix on HBM qualification, DRAM allocation and NAND realization. SNDK and Kioxia are more concentrated NAND exposures. SKHY is another instrument on SK hynix's same issuer economics. Contract floors, caps, deposits and volumes must be assessed by company. Supplier equipment demand follows actual process upgrades and capacity spending; a NAND price increase does not itself establish a tool order. Controllers, module makers and device OEMs can face higher replacement and input costs.

Micron's G9 enterprise SSDs, high-capacity QLC and automotive NAND connect the technology roadmap to storage demand. They are included in the relevant business-unit reference curve; no separate optionality revenue is stacked on top.

7. Risks and falsification tests

The existing -4 analytical risk deduction covers four classes: customer/geopolitical exposure; greenfield and product execution; pricing and cost normalization; and uncertain future allocation and share counts. A pricing update does not erase those risks.

#	Monitoring test	Evidence needed	Failure signal
1	NAND realization	Compare fiscal-month-weighted benchmark with disclosed NAND ASP, bits and mix.	Contract ceilings, weak mix or fiscal timing reduce price capture.
2	NAND allocation	Reconcile the 24% forward allocation with reported technology revenue.	HBM mix growth or NAND constraints invalidate constant mix.
3	Production economics	Check gross profit, product cost, opex and new-fab ramp.	Higher costs or lower output absorb incremental pricing.
4	Contracts and cash	Track SCA coverage and customer deposit liabilities.	Refunds or revised terms undermine assumed visibility.
5	Shares and capital	Compare net repurchases and dilution to the quarterly share path.	Repurchases do not offset awards or the assumed cancellation fails.
6	Long-range supply	Track qualified NAND and DRAM output, not announcements alone.	Realized supply and ASP decline faster than the modeled normalization.

The fiscal timing bridge uses uniform months and is not exact daily revenue recognition. The fixed 24% allocation and retained higher Q1 2027 price level remain important forecast sensitivities. A fully sourced product-level bit/ASP/capacity build through 2030 remains an evidence gap.

8. Sources, evidence gaps and model snapshot

- **MU-1** · 2026-06-24 · FQ3 FY2026 issuer earnings release. Exact consolidated and business-unit actuals; FQ4 revenue, GM and opex guidance.
 - **MU-2** · 2026-06-24 · FQ3 management prepared remarks. SCA structure, product supply, pricing, costs, capex and capital-return intent.
 - **MU-3** · 2026-06-24 · FQ3 management post-earnings Q&A transcript. Reproduced management speech; deposits, HBM TAM and pricing-band detail.
 - **MU-4** · 2026-03-18 · FQ2 management call transcript. Prior-period management comparison; initial SCA and HBM margin discussion.
 - **MU-5** · 2026-09-01 · Supplied framework and quarterly model - User upload: MU_Q_Model and Framework 6.0. Sanctioned 9x non-GAAP OP convention and conditional forward revenue/margin/share trajectory.
 - **TF-1** - Owner-supplied TrendForce revision, incorporated September 20, 2026: Q3 NAND ASP +18-23% and Q4 +15-20% sequentially. Active selections: +23% and +20%. The exact revised publication/table was not independently retrieved. Source priority is Tier 1 alongside Serenity as instructed by the owner.
 - **TF-2** - August 18, 2026, TrendForce NAND supplier research. Samsung NAND revenue estimate \$23.06B; SK hynix Group includes Solidigm. The article's aggregate and individual supplier totals do not reconcile; its aggregate and market-share denominator are not used in the model.
 - **TF-3** - September 7, 2026, TrendForce DRAM supplier research. Samsung Q2 DRAM revenue estimate \$60.98B, including the DRAM product mix. The Samsung allocation uses matched Q2 product estimates in USD, avoiding a new FX conversion.
- MU-2 reports the rounded 24% NAND revenue share used in the forward calibration. The supplied full artifact and September 6 earnings review provide inherited non-NAND research. Stale price-dependent ranks, universal contract-collar statements and prior ceilings have been removed from the active artifact. Historical versions remain external.
- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. Only the Q1 +15% is newly adopted; the owner retains +23% and +20% for 2026. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.
- Model snapshot:** September 21, 2026, Framework 6.0.2. Active calendar NAND case +23% Q3 2026 / +20% Q4 / +15% Q1 2027. Portfolio Base 99/100 preserved; analytical score 53/60. Eighteen operating quarters and fifteen complete forward-four-quarter valuation windows. Q3 2027 ceiling = USD 2,087.372112; Q1 2028 = USD 2,154.023641 per share. Other model inputs retained; prior versions archived.